

Paradiem

The Morning Brief

AUGUST 19, 2026

Chip Vise

Semiconductors led a broader tech selloff on long-end yields near multi-year highs; FOMC minutes, ADI, Target and Lowe's anchor the Wednesday sequence.

S&P 500 (TUE)	NASDAQ (TUE)	WTI (USO TUE)	BITCOIN (IBIT TUE)	FEAR & GREED (CNN)
\$767.45 · ↓0.68%	\$717.51 · ↓1.69%	\$130.66 · ↑0.28%	\$36.60 · ↑0.49%	59 · Greed

SECTION 01

Markets — Semiconductor Reset Sorts the Tape as Yields Ease Slightly But Remain Elevated

CHIP COMPLEX ABSORBS THE DURATION REPRICING EVEN AS TLT EDGES HIGHER

Per Reuters, Bloomberg, and Detroit News coverage of the Tuesday tape, the Philadelphia SE Semiconductor index closed ↓5.4% with Middle East uncertainty keeping long-end yields near multi-year highs; per prior briefs and Reuters coverage cited in the data drop headlines, long-end Treasury yields remained near recent multi-year highs. Per data drop, TLT closed ↑0.38% at \$81.66 — meaning long-end yields eased marginally on the session — yet SPY closed ↓0.68% at \$767.45, QQQ ↓1.69% at \$717.51, DIA ↓0.24% at \$532.91, and the Russell 2000 ↓1.26% at \$300.23. The composition — yields easing slightly while the most extended tech names cratered — reads as valuation-reset and positioning unwind rather than a fresh rate shock. Per data drop, the FCI growth sleeve carried the largest single-name marks: CRDO closed ↓13.03% at \$245.97, MRVL ↓7.82% at \$216.00, KEYS ↓5.58% at \$341.00 despite a Q3 EPS beat (\$3.07 vs \$2.52 est), TEL ↓5.71% at \$204.97, LRCX ↓4.63% at \$327.92, AMD ↓4.27% at \$484.39, and TSM ↓4.07% at \$413.41. Per 24/7 Wall St. coverage of the Tuesday move, the pattern — AVGO and NVDA down roughly 2% while the most-extended names dropped 5–13% — is consistent with a duration event punishing the highest-multiple positions hardest, and MRVL’s stretched valuation (over 80x trailing per 24/7 Wall St. coverage) sat squarely in that repricing.

SOX INDEX (TUE)	↓5.4% · per Reuters coverage
CRDO (TUE)	\$245.97 · ↓13.03%
MRVL (TUE)	\$216.00 · ↓7.82%
TLT (20Y TUE)	\$81.66 · ↑0.38%
ADI Q3 (WED)	7:00 AM ET · ~\$3.33 EPS est
FOMC MINUTES (WED)	2:00 PM ET · Jul 28–29 mtg

SECTOR ROTATION CONFIRMS THE DURATION FRAME —
DEFENSIVES BID, GROWTH BLEEDS

Per data drop, the Tuesday sector tape sorted cleanly along the duration axis with defensives and energy carrying the bid: XLE led at ↑1.76%, XLV ↑1.60%, XLP ↑1.06%, and XLF ↑0.45%; on the other side, XLK cratered at ↓2.47%, XLI ↓1.48%, XLB ↓0.88%, XLRE ↓0.45%, XLU ↓0.36%, and XLY ↓0.33%. The composition — short-duration cash-flow leaders bid and long-duration growth names sold — is consistent with a session absorbing the Monday yield spike rather than reacting to a fresh macro shock. Per data drop, the FCI dividend sleeve worked as designed on this composition: EIX ↑3.35% at \$73.69, LMT ↑2.26% at \$607.17 (reversing

Monday's ↓2.45% mark), ABT ↑2.09% at \$112.68, OKE ↑1.84% at \$97.07, SPGI ↑1.83% at \$418.04, NTR ↑1.63%, CL ↑1.39%, ADP ↑1.22%, and CHD ↑1.17%. Per data drop, the energy sleeve held the physical-friction floor: CVX ↑1.50% at \$205.74, OKE ↑1.84% at \$97.07, CNX essentially flat at \$35.37, alongside USO ↑0.28% at \$130.66 and BNO ↑0.27% at \$52.11. Per data drop, the metals complex was the notable divergence with GLD ↓1.71% at \$398.55 and SLV ↓3.58% at \$57.44 — a break from the recent risk-off/precious-metals pairing consistent with cross-margin liquidation into the equity drawdown.

WEDNESDAY SEQUENCE: ADI PRE-OPEN, TGT AND LOW PRE-OPEN, FOMC MINUTES 2:00 PM, SECTION 338 DUTIES LIVE

The Wednesday cash session opens with a stacked catalyst calendar. Per Analog Devices IR release, ADI reports fiscal Q3 at 7:00 AM ET with company guidance of ~\$3.30 EPS on ~\$3.9B revenue and sell-side consensus near \$3.33 EPS on ~\$3.92B per TradingView and Yahoo Finance coverage — a

print with material read-through to the industrial, data-center, and automotive semiconductor complex where the FCI thesis sits. Per company IR calendars cited by Yahoo Finance and 24/7 Wall St. coverage, Target reports pre-open with consensus roughly \$2.35 EPS on \$26.15B revenue, and Lowe's reports pre-open with a decisively bullish analyst distribution (24 Buys, 10 Holds, 1 Sell per TipRanks coverage). Per FOMC calendar and InvestingLive preview coverage, the July 28–29 FOMC meeting minutes publish at 2:00 PM ET, and per InvestingLive coverage of the July decision, the Committee held the funds rate at 3.50–3.75% by a 9–3 vote with three dissents in favor of a hike — markets will read whether the hawkish camp extended further and whether officials flagged energy-price pass-through as an inflation risk. Per Federal Register coverage cited by Kiplinger and Yahoo Finance in prior briefs, new Section 338 duties of 50% on a list of Canadian goods take effect today — a tariff step that reads through the retailer, homebuilder, and industrial commentary landing in the same window.

A duration repricing tends to sort a tape by valuation faster than a growth event sorts it by fundamentals. Simplicity Over Complexity.

SECTION 02

Geopolitics — Ukraine Halts Druzhba Flows into Central Europe as Bessent Detail Window Opens

DRUZHBA PIPELINE DOWN FOR THE SECOND TIME IN A WEEK; CENTRAL EUROPE FLOWS HALTED INDEFINITELY

Per Kyiv Independent, RBC Ukraine, and CEPA coverage of Monday's statement from the Unmanned Systems Forces, Ukrainian drones struck the Nikolskoye oil pumping station in the Tambov region — the second successful strike on the Druzhba network in under a week. Per the same coverage, Russian crude flows to Hungary and Slovakia via the roughly 2,500-mile Druzhba pipeline halted August 18 with no restart timeline. Per CEPA and OilPrice coverage, prior strikes on the Unecha station in Bryansk had already forced intermittent outages on the northern leg. The compound effect — Middle East crude friction alongside Russian pipeline capacity destruction into Central Europe — extends the crack-spread pressure noted in prior briefs and adds a discrete European supply-side variable to the physical-friction floor under crude. Per Kyiv Independent coverage, Hungary's Foreign Minister Peter Szijarto publicly attributed the suspension to the Ukrainian attack — a diplomatic friction that reads through the EU's Russia-energy consensus. For the FCI energy sleeve (CVX ↑1.50% at \$205.74, OKE ↑1.84% at \$97.07, CNX flat at \$35.37 per data drop), the Druzhba outage adds to the two-front supply variable that has framed the sleeve since the Hormuz reimposition.

BESSENT ISOLATION PACKAGE DETAIL WINDOW OPENS; TEAPOT-REFINER PERIMETER REMAINS THE READ

Per CNN, Al Jazeera, and Bloomberg coverage of Monday's statements, President Trump publicly confirmed no talks are

underway with Iran, and Treasury Secretary Bessent's weekend framing of measures characterized as unprecedented in scope for the economic isolation of a state actor remains scheduled for detail this trading week (Aug 17–21). Per Al Jazeera coverage of Monday's Iranian statements, Tehran continues to condition any Hormuz reopening on removal of sanctions and release of frozen assets — the six-point framework captured in prior briefs. Per Bloomberg and Fortune previews cited in prior briefs, the operative variable in the Bessent detail remains the secondary-sanction perimeter around Shandong teapot refiners and the marine-insurance/reinsurance channels, not the aggregate sanction count. A package that widens the perimeter tends to firm the physical-friction floor under crude; a package that reads narrower would compress it. Per CNN coverage of Monday's tape, the UAE also detected a missile threat overnight into Monday and France announced the expulsion of two Iranian diplomats per Reuters coverage cited in the data drop — the diplomatic surround continues to tighten alongside the enforcement posture.

HORMUZ TRAFFIC PERSISTS IN SINGLE DIGITS; REUTERS REPORTS CONTINUED UNCERTAINTY ON REOPENING
TIMELINE

Per Reuters coverage cited in the data drop headlines, Hormuz traffic remained slow on Tuesday as uncertainty over the waterway persisted, with oil extending its climb on prolonged Hormuz export uncertainty. Per data drop, USO closed $\uparrow 0.28\%$ at \$130.66 and BNO $\uparrow 0.27\%$ at \$52.11 — modest but positive marks that reflect the market pricing a slow-grind Hormuz outage rather than a rapid reopening. Per prior briefs and Reuters shipping-tracking coverage, transit counts have held in single digits against the roughly 130 daily crossings recorded before the conflict. Per Reuters coverage cited in the data drop, South Korea's foreign minister publicly noted that President Trump appears to be pressuring Seoul over Iran-related investment — a signal that the secondary-sanction perimeter Bessent has been signaling may extend beyond the Chinese teapot channel into Asian energy buyers more broadly. For FCI positioning, the compound read — Hormuz friction persistent, Druzhba flows halted into Central Europe, and the Bessent perimeter potentially widening — keeps the energy sleeve (CVX, CNX, OKE) as the primary hedge into the balance of the week.

SECTION 03

On Our Radar

1. FOMC Minutes 2:00 PM ET — The Three-Dissent Composition Is the Read, Not the Vote. Per FOMC calendar and InvestingLive preview coverage, the July 28–29 meeting minutes publish Wednesday at 2:00 PM ET. Per the same coverage, the Committee held the funds rate at 3.50–3.75% by a 9–3 vote with three dissents favoring a hike, and Chair Warsh's post-meeting press-conference framing was deliberately brief on forward guidance — making the internal deliberation the market's primary read. Markets will parse whether the hawkish camp extended beyond the three dissenters, whether officials flagged Middle East energy-price pass-through as an explicit inflation risk, and whether the labor-softening thesis captured in July's NFP miss and the subsequent retail-sales miss carries as much weight in the internal deliberation as it now carries in market pricing. Per prior briefs and CME FedWatch coverage, September rate-hike odds compressed from roughly 44% early last week to roughly 30% by Friday close — a hawkish minutes read could partially re-price that shift, particularly on the long end which has led the recent term-premium re-write.

2. ADI Pre-Open — Industrial and Auto Semis Read

Cleanly Against the Tuesday Chip Rout. Per Analog Devices IR release, ADI reports fiscal Q3 at 7:00 AM ET with management guidance of ~\$3.30 EPS on ~\$3.9B revenue and sell-side consensus near \$3.33 EPS on ~\$3.92B per TradingView and Yahoo Finance coverage. Per Simply Wall St and Yahoo coverage, prior strength in industrial, data-center, and automotive demand supports the +62.4% YoY consensus expectation. Per data drop, ADI closed ↓3.50% at \$376.63 into the print — part of the broader chip repricing but idiosyncratically less punished than the AI-hardware pure-plays (CRDO ↓13%, MRVL ↓7.82%). The print sits at the analog/mixed-signal intersection that the FCI dividend sleeve is built around, and the composition — specifically automotive and industrial commentary against a tariff-active week (Section 338 Canadian duties live Wednesday per Federal Register coverage cited in prior briefs) — will carry more weight than the headline print alone.

3. Retailer Sequence Continues — TGT and LOW Pre-Open, HD Beat Cushions the Setup.

Per Investing.com and CNBC coverage of Tuesday's HD print, Home Depot beat Q2 expectations with adjusted EPS of \$4.92 (vs \$4.73 est) on \$47.9B revenue (vs \$47.23B est), reaffirmed full-year guidance, and traded roughly ↑1.01% aftermarket — a supportive datapoint for Wednesday's TGT and LOW prints. Per 24/7 Wall St. and TipRanks coverage, Target reports pre-open with consensus roughly \$2.35 EPS on \$26.15B revenue and a Polymarket-implied 90.5% probability of a beat, and Lowe's reports pre-open with 24 Buys, 10 Holds, and 1 Sell on the analyst distribution. Per data drop, the discretionary-adjacent FCI dividend sleeve read Tuesday was mixed: FAST essentially flat at \$51.27, GPC ↓0.48% at \$131.89, PCAR ↓2.16% at \$128.02. Per Yahoo Finance coverage of the HD call, professional-customer trends outperformed DIY and online comps grew 11% for a fifth consecutive quarter of double-digit growth — both signals that read through to the broader consumer/housing sleeve read.

4. CRDO ↓13.03% — Positioning Reset in the Most

Extended AI-Hardware Name. Per data drop, Credo Technology closed ↓13.03% at \$245.97 Tuesday — the widest single-name mark in the FCI universe on the session and the clean read on which parts of the AI-hardware complex are carrying the largest positioning risk. Per Daily Political coverage of the Tuesday move, the stock traded as low as \$240.00 intraday. The move follows a ↑8.82% Monday print per prior brief, capturing the two-way pattern that tends to characterize the highest-multiple names in a duration event. Per Reuters and Detroit News coverage of the Tuesday chip rout, the Philadelphia SE Semiconductor index closed ↓5.4% on aggregate, but the intra-index dispersion (AVGO/NVDA off roughly 2%, CRDO ↓13%, MRVL ↓7.82%) confirms that valuation, not fundamentals, drove the tape. For FCI, CRDO sits at the physical-AI-infrastructure intersection the growth sleeve is built around, and the composition of the reset — the highest-multiple names carrying the widest damage — is the analytical read the committee should keep in view into the balance of the week and the August 26 NVDA print.

5. Bitcoin ETFs Show Modest Bid Against the Equity

Drawdown — De-Correlation Persists. Per data drop, IBIT closed ↑0.49% at \$36.60 and ETHA closed ↑0.28% at \$14.44 Tuesday — both modestly bid against the ↓0.68% SPY and ↓1.69% Nasdaq marks. Per data drop, the bitcoin miner complex diverged materially with HUT ↓8.23% at \$80.79 and MARA ↓7.77% at \$8.96 — a bifurcation consistent with rate-sensitive miner-equity multiple compression while the underlying spot flow held bid. Per Benzinga coverage cited in the data drop, BlackRock reaffirmed its 2% portfolio allocation recommendation for Bitcoin, and Paul Tudor Jones was reported to be buying IBIT again with a modified trade structure. For FCI, the digital-asset expression through IBIT and ETHA continues to read cleanly on the underlying flow signal even as the mining-equity beta compresses on the rate-sensitivity vector.

6. Carson's SPY \$645.80 Support Remains Active; No

Levels Hit Tuesday. Per levels.json, Carson's active SPY support at \$645.80 remained untouched through Tuesday's \$766.92–\$769.50 SPY intraday range per data drop and now sits approximately 15.8% below the current tape. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone. With FOMC Minutes at 2:00 PM ET, ADI pre-open, TGT and LOW pre-open, WMT pre-open Thursday, Section 338 Canadian duties live today, the Bessent detail window open through Friday, NVDA reporting August 26, and Jackson Hole August 27–29, the pre-committed FCI deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single-session gap through the sequence. Note: the data drop Fear & Greed reading of 46 "Fear" reflects the CNN endpoint falling back to the crypto index; per web search of the CNN stock-market F&G, the reading held near 59 "Greed" as of Tuesday.

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